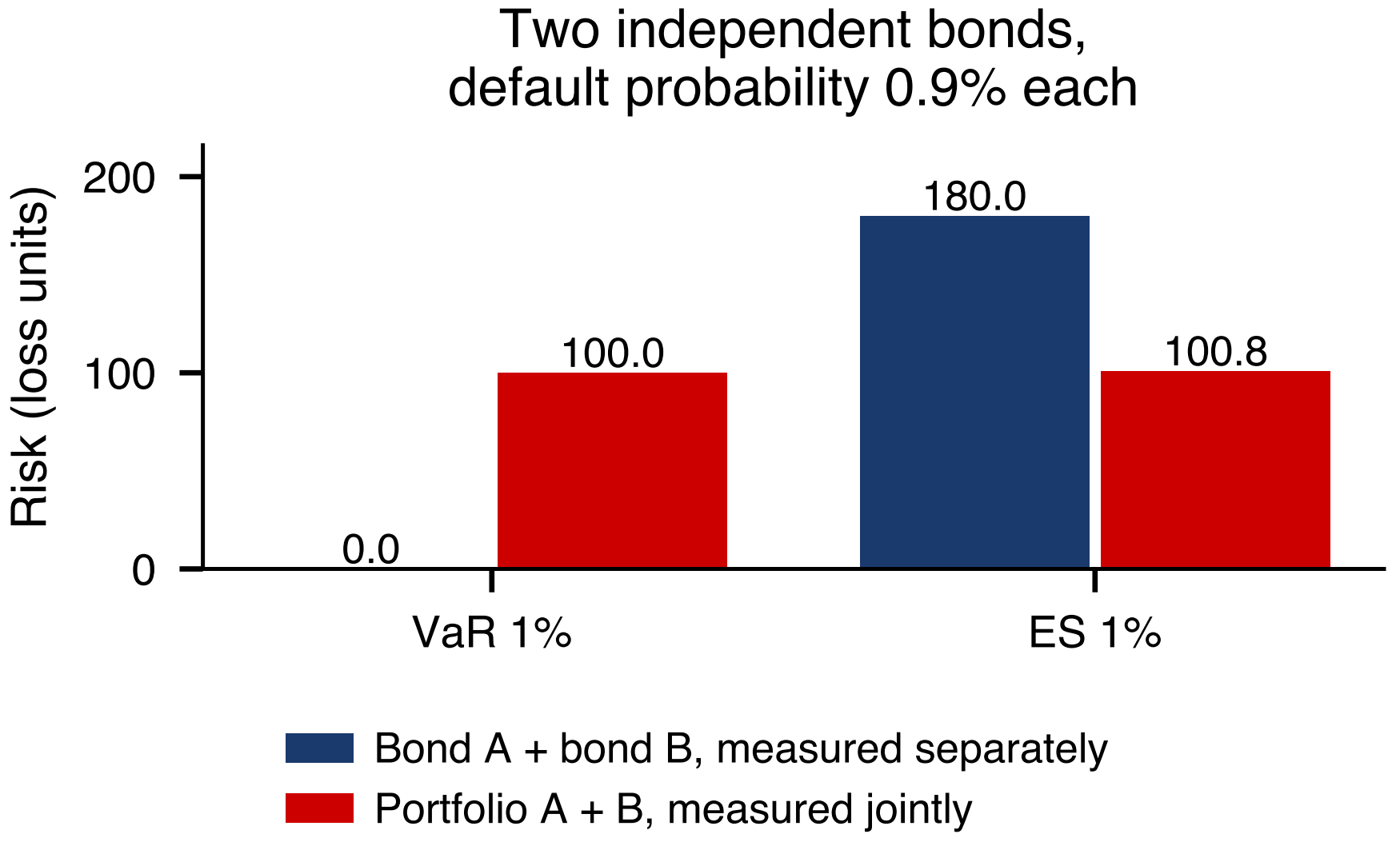
Two independent bonds,
default probability 0.9% each
Risk (loss units)
200
100
0
0.0
100.0
180.0
100.8
VaR 1%
ES 1%
Bond A + bond B, measured separately
Portfolio A + B, measured jointly